

AICA Level-2 Capstone Project

Project Title

Smart Freelancer Tax Calculator & Tax Planning Assistant for India

Submitted By

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1. Executive Summary

The **Smart Freelancer Tax Calculator & Tax Planning Assistant** is a Python-based web application developed using Streamlit to help Indian freelancers, consultants, and independent professionals estimate their income-tax liability and understand important tax-compliance considerations.

The application combines income-tax calculation, presumptive taxation under **Section 44ADA**, GST applicability assessment, TDS adjustment, advance-tax indicators, and tax-planning suggestions into a single user-friendly interface.

The project is designed not merely as a tax calculator but as a practical **tax-planning and client-engagement tool** that can help taxpayers understand their estimated liability and identify areas where professional Chartered Accountant advice may be beneficial.

2. Problem Statement

Freelancers and independent professionals frequently face difficulties in determining:

- Their estimated taxable income
- Whether Section 44ADA can be considered
- The difference between gross receipts and taxable/professional income
- Their estimated income-tax liability
- The impact of TDS already deducted
- Whether GST registration may become applicable
- Whether advance-tax planning may be required
- Potential areas for legitimate tax planning

Existing tax calculators are generally designed for a broad taxpayer base and may not provide a workflow specifically focused on freelancers and professionals.

This project addresses this gap by creating a simple, freelancer-focused tax-planning application.

3. Project Objectives

The primary objectives of the project are:

1. To develop an easy-to-use income-tax calculator for freelancers.
 2. To incorporate presumptive taxation considerations under Section 44ADA.
 3. To estimate taxable professional income based on user inputs.
 4. To calculate estimated income tax using applicable tax slabs.
 5. To account for TDS while estimating the remaining tax payable.
 6. To provide an indicative GST applicability assessment.
 7. To highlight potential advance-tax requirements.
 8. To provide basic, actionable tax-planning suggestions.
 9. To create a foundation for integrating lead generation into a CA practice.
 10. To demonstrate the practical application of Python and AI/data-driven thinking in a taxation-related business use case.
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4. Target Users

The application is primarily intended for:

- Freelancers
 - Consultants
 - Independent professionals
 - Online service providers
 - Digital creators and professionals
 - Small professional businesses
 - Individuals receiving professional fees
 - Taxpayers seeking an initial estimate before consulting a CA
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5. Key Features

5.1 Freelancer Income Calculator

The user can enter gross professional receipts and other income to obtain an estimated income figure for tax calculation.

5.2 Section 44ADA Support

The application provides an option to calculate professional income using the presumptive taxation approach under Section 44ADA, subject to applicable eligibility conditions and limits.

5.3 Expense-Based Calculation

For users not selecting presumptive taxation, the application can estimate professional income using an expense percentage entered by the user.

5.4 Income-Tax Calculation

The application applies the configured income-tax slab structure and calculates estimated tax before and after applicable adjustments.

5.5 TDS Adjustment

Users can enter TDS already deducted from their professional receipts. The application then estimates the remaining tax payable after considering the entered TDS amount.

5.6 GST Assessment

The application considers turnover information and provides an indicative GST registration alert based on the configured threshold.

5.7 Advance-Tax Indicator

Where the estimated outstanding tax liability exceeds the configured threshold, the application provides an advance-tax planning alert.

5.8 Tax-Planning Suggestions

The application analyses user inputs and generates suggestions such as:

- Reviewing eligibility for presumptive taxation
- Reviewing GST compliance requirements
- Planning for advance tax
- Reviewing TDS credits
- Considering professional tax planning with a CA

5.9 Lead Generation

The application can collect basic prospect information such as:

- Name
- Phone number
- Contact details

This creates a foundation for converting a free tax-calculation tool into a client-acquisition channel for a Chartered Accountant practice.

6. Technology Stack

Programming Language

Python

Web Application Framework

Streamlit

Development Environment

Jupyter Notebook / Python Development Environment

Core Concepts Used

- Python functions
 - Conditional logic
 - Loops
 - Input validation
 - Financial calculations
 - Rule-based decision logic
 - Interactive web UI
 - Data presentation
 - Lead-capture workflow
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7. High-Level System Workflow

The application follows the following workflow:

User Input

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Gross Professional Receipts

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44ADA / Expense-Based Calculation

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Estimated Professional Income

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Addition of Other Income

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Estimated Total Income

↓

Income-Tax Slab Calculation

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Applicable Rebate / Cess / Adjustments

↓

Less: TDS

↓

Estimated Net Tax Payable

↓

GST & Advance-Tax Assessment

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Tax-Planning Suggestions

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Optional CA Consultation / Lead Capture

8. Tax Calculation Methodology

The application uses a modular calculation approach so that tax rules can be updated independently from the user interface.

The major components include:

Professional Income

For presumptive taxation:

Estimated Professional Income = Applicable Presumptive Percentage × Gross Professional Receipts

For the non-presumptive option, the application estimates income after considering the expense percentage entered by the user.

Total Income

Estimated Total Income = Professional Income + Other Income

Tax Liability

The application applies the configured income-tax slab rates to the estimated taxable income.

Applicable rebate, cess, and other relevant adjustments can be incorporated into the calculation engine as separate modules.

Net Tax Payable

Net Tax Payable = Estimated Tax Liability – TDS Credit

The result is intended as an estimate and not as a substitute for final income-tax return preparation.

9. GST Module

The GST component provides an indicative assessment based on the user's professional turnover.

The module considers:

- Gross professional receipts/turnover
- Configured GST threshold
- Registration alert
- Need for further professional review

The application clearly distinguishes between an **indicative calculator result** and a final determination of GST registration liability because GST applicability can depend on factors beyond turnover alone.

10. Tax Planning Module

The tax-planning component is designed to move beyond simple tax computation.

Based on user inputs, it can identify areas requiring attention, including:

- Possible applicability of Section 44ADA
- TDS reconciliation
- Advance-tax planning
- GST compliance review
- Comparison of tax regimes
- Review of eligible deductions and exemptions
- Professional consultation where the taxpayer's situation is complex

The objective is to encourage **legal and informed tax planning**, rather than tax avoidance.

11. Lead Generation Use Case

A key business objective of the project is to transform the calculator into a digital client-acquisition tool for a CA practice.

Proposed Customer Journey

Free Tax Calculator



Instant Tax Estimate



Personalised Tax Insights



"Get My Tax Plan" CTA



Lead Capture



CA Consultation



ITR / GST / Tax Planning Engagement

The system can subsequently be integrated with:

- Google Sheets or a database
- CRM systems
- WhatsApp communication
- Email notifications
- Online appointment scheduling
- Payment gateways
- Professional-services packages

This creates a practical connection between technology and professional practice development.

12. Potential AI Enhancement

The next version of the project can incorporate an AI-assisted tax-planning layer.

For example, an AI component could convert calculator results into plain-language insights:

"Your estimated professional income is ₹X. Based on the information provided, you may want to review your eligibility for presumptive taxation and your advance-tax position."

The AI layer can also help generate:

- Personalised explanations
- Tax-planning checklists
- Compliance reminders
- Client FAQs
- CA consultation summaries

AI output would remain subject to professional verification and applicable tax laws.

13. Expected Benefits

For Taxpayers

- Simple tax estimation
- Freelancer-specific workflow
- Better understanding of tax obligations
- Early identification of compliance issues
- Awareness of tax-planning opportunities

For CA Practice

- Digital client engagement
- Lead generation
- Reduced time spent on preliminary calculations
- Standardised initial client assessment
- Opportunity to upsell ITR, GST and tax-planning services

For Professional Practice

The project demonstrates how technology can be used to improve both **client experience and operational efficiency** in a CA practice.

14. Future Scope

The following features can be added in future versions:

1. Old Regime vs New Regime comparison
2. Detailed Section 44ADA eligibility validation

3. More comprehensive GST calculations
 4. Capital-gains income module
 5. Rental income module
 6. Detailed deduction engine
 7. Advance-tax instalment calculator
 8. Interest calculation under applicable provisions
 9. TDS reconciliation
 10. Financial-year selection
 11. Automatic tax-rule versioning
 12. Database-backed lead management
 13. WhatsApp and email integration
 14. AI-powered tax-planning assistant
 15. Client dashboard
 16. CA dashboard for managing leads
 17. PDF tax-planning report generation
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15. Limitations

The current version is intended as an **estimation and educational tool**.

Actual tax liability can depend on several factors, including the taxpayer's complete income profile, nature of professional activity, residential status, special-rate income, deductions, exemptions, surcharge, marginal relief, applicable thresholds, and changes in tax law.

Therefore, the application should not be treated as a replacement for professional tax advice or final income-tax/GST compliance.

16. Conclusion

The **Smart Freelancer Tax Calculator & Tax Planning Assistant** demonstrates the practical use of Python and Streamlit to solve a real-world taxation and professional-services problem.

The project goes beyond basic arithmetic by combining:

- Tax calculation
- Freelancer-specific taxation
- Section 44ADA considerations
- GST assessment
- TDS adjustment
- Advance-tax indicators
- Tax-planning insights
- Digital lead generation

The proposed solution provides a strong foundation for developing a scalable digital product that can improve taxpayer awareness while simultaneously supporting the digital transformation and client-acquisition strategy of a Chartered Accountant practice.

17. Project Declaration

I, **Rajat Agrawal**, Membership Number **436453**, hereby submit this project as part of the **AICA Level-2 Capstone Project**.

I understand that the calculator is intended for educational, estimation, and demonstration purposes, and that actual tax and compliance decisions should be verified against the applicable law and the taxpayer's complete facts and circumstances.

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Date: 14 Aug 2026